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mention of divestment or Fiscal Responsibility and Budget Management (FRBM) and how they are going to do that. But these are medium-term reforms which the Survey mentions. In the short run, this is a good Budget in terms of growth and inclusive growth.

**Siddharth Roy:** The Budget has come at a very difficult time. Private consumption expenditure has actually come down to 2.9 per cent or so, compared to 6.7-6.8 per cent, which was the average for the last five years. At a time when private consumption expenditure is very low and most of the consumption expenditure is made up of government consumption expenditure, this Budget is trying to put some money in the hands of the people. It is intended to generate demand. What this kind of spend does to the fiscal system is something we will need to watch out for.

## IS THERE A METHOD?

Tinker, tailor, soldier, is there a gameplan?

**Debroy:** You see a method only if you talk about tax reform agenda as most of the other things were given. There are no major exemptions this year, only extensions of exemption deadlines. There is a very conscious decision, not to announce any of the big-bang kind of measures, including

“They concede that in these times of global uncertainty, the horse you need to back is consumption.”

SUMAN K. BERY, *Director-General, NCAER*

divestment, because most of such measures will have room outside the Budget, so why announce them now and get into trouble, because the allies don't agree, the other ministries don't agree, etc. See what has happened to Kapil Sibal's 100-day plan. Then there is a conscious effort not to knock off the limelight from others and take credit for things that sheerly should be done by other ministries. Hence, let the minister for petroleum and natural gas do this and the minister for rural development do that. One can see that in terms of retreat on the Fringe Benefit tax (FBT) and commodity transaction tax (CTT), there is a recognition that many things that Chidambaram did were wrong. On the seeming confusion in the continuation of surcharge on corporate tax, the argument could be, we will phase out exemption soon as anyway there will be a new direct tax order. The fourth conscious decision is an attempt to target subsidies. The obvious one is fertilisers, but there are others also.

**Dev:** The Budget, unlike the Economic Survey, is a mixture of politics and economics. They don't want to probably mention big-bang reforms now and would rather concentrate on schemes like Bharat Nirman and NREGA.

**Roy:** The first thing we must take into consideration is if you take the backdrop into account, this is a particularly bad year. That he has kept the basic rates unchanged, is a major achievement. Second, some of the irritants have been removed. The third thing is if you look at some of the steps that have been taken in personal income tax, they are really

MANDAR DEODHAR



“If the UPA Government has to do unpleasant things, this is the year to do so.”

ASHIMA GOYAL, *Professor, IGIDR*